

"We would be able to provide them with cash management, trade, supply chain financing, and the salary account offering, among others," he says, adding that the merger also enables it to increase lending to infrastructure projects. "It helps us to take a larger share of business in companies and groups where we have appetite in view of the increased capital base of the bank," adds Bharucha. The bank had a large balance sheet of ₹24.66 lakh crore as on March 31, 2023, next only to State Bank of India (that had a balance sheet of ₹55.16 lakh crore).

There are other opportunities it is looking at as well. Last February, the bank raised \$300 million through its first ever sustainable finance bonds. The funds raised will be used to lend to emerging sectors like electric vehicles, SMEs, and affordable housing.

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THE MERGER

But there are some challenges that the bank confronts. The merger has brought with it high-

cost borrowing. After the deal, the share of borrowing in total liabilities has risen from 8% pre-merger to 21% post-merger. Investors have expressed concerns about this since interest rates have gone up and liquidity has tightened. "What we acquired after the merger was a well-matched asset and liability book. Accordingly, the borrowings were long tenor funds aligned to the long tenor mortgage loans. These borrowings are not callable earlier than the stated dates. As HDFC's borrowings mature over time, these will get replaced with lower-cost granular retail funds of the bank," explains Srinivasan Vaidyanathan, Chief Financial Officer of the bank.

Of course, tightened liquidity conditions don't just impact HDFC Bank. It has led to a general scramble for deposits. As of December 31, 2023, the bank had sequentially grown its CASA (current account and savings account) deposits by 2.2% (or 21.6% YoY). Its CASA ratio—or the share of CASA deposits in a bank's overall deposits—was

almost flat between September and December 2023, at 37.7%. But its CASA ratio was 44% pre-merger.

To boost its relationship with customers, the bank is also revamping other parts of its operations. It has launched Customer First—a priority for the CEO—that aims to enhance customer experience by bringing in primary banking and providing the bedrock of low-cost funding. With the sudden surge in interest rates to contain inflation, the cost of funds has also increased. "The elevated credit-to-deposit ratio added pressure on the bank's NIM (net interest margin), which was apparent in Q3FY24," says Omkar Kamtekar, Analyst at brokerage Bonanza Portfolio.

The management has said the CD ratio will reduce in the coming quarters, but this remains a major pain point, Kamtekar adds.

"The RBI is expected to take cues from its global peers and lower rates as well; this would be a welcome sign as the cost of funds would decrease, thereby enhancing the NIM. Also, as the new branches

MARKET NOT CONVINCED

▶ The HDFC Bank stock has trailed both the benchmark BSE Sensex and the BSE Bankex

▶ The stock has seen a big decline since January

